

**SUBSTITUTE FOR
SENATE BILL NO. 856**

A bill to make appropriations for the state transportation department for the fiscal year ending September 30, 2027; and to provide for the expenditure of the appropriations.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

PART 1

LINE-ITEM APPROPRIATIONS

Sec. 101. There is appropriated for the state transportation department for the fiscal year ending September 30, 2027, from the following funds:

DEPARTMENT OF TRANSPORTATION

APPROPRIATION SUMMARY

Full-time equated unclassified positions	6.0
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Full-time equated classified positions	3,213.3
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1	GROSS APPROPRIATION	\$ 8,499,621,400
2	Total interdepartmental grants and	
3	intradepartmental transfers	4,555,300
4	ADJUSTED GROSS APPROPRIATION	\$ 8,495,066,100
5	Federal revenues:	
6	Total federal revenues	2,374,354,200
7	Special revenue funds:	
8	Total local revenues	86,948,500
9	Total private revenues	20,500,000
10	Total other state restricted revenues	6,013,263,400
11	State general fund/general purpose	\$ 0
12	Sec. 102. DEBT SERVICE	
13	Airport safety and protection plan	\$ 3,618,300
14	Blue Water Bridge fund	3,318,400
15	Economic development	234,300
16	Local bridge fund	77,300
17	State trunkline	333,554,100
18	GROSS APPROPRIATION	\$ 340,802,400
19	Appropriated from:	
20	Blue Water Bridge fund	3,318,400
21	Economic development fund	234,300
22	Local bridge fund	77,300
23	State aeronautics fund	3,618,300
24	State trunkline fund	333,554,100
25	State general fund/general purpose	\$ 0
26	Sec. 103. INTERDEPARTMENTAL GRANTS	
27	CTF grant to civil service commission	\$ 225,300
28	CTF grant to department of attorney general	112,600



1	CTF grant to department of technology,	
2	management, and budget	45,400
3	CTF grant to department of treasury	54,900
4	CTF grant to legislative auditor general	47,800
5	MTF grant to department of environment, Great	
6	Lakes, and energy	2,277,200
7	MTF grant to department of state for collection	
8	of revenue and fees	20,000,000
9	MTF grant to department of treasury	3,817,000
10	MTF grant to legislative auditor general	388,200
11	SAF grant to civil service commission	140,000
12	SAF grant to department of attorney general	196,900
13	SAF grant to department of technology,	
14	management, and budget	32,900
15	SAF grant to department of treasury	72,200
16	SAF grant to legislative auditor general	37,600
17	STF grant to civil service commission	7,160,100
18	STF grant to department of attorney general	2,269,800
19	STF grant to department of state police	13,807,700
20	STF grant to department of technology,	
21	management, and budget	1,409,700
22	STF grant to department of treasury	167,000
23	STF grant to legislative auditor general	901,600
24	GROSS APPROPRIATION	\$ 53,163,900
25	Appropriated from:	
26	Comprehensive transportation fund	486,000
27	Michigan transportation fund	26,482,400
28	State aeronautics fund	479,600



1	State trunkline fund		25,715,900
2	State general fund/general purpose	\$	0
3	Sec. 104. DEPARTMENTAL ADMINISTRATION AND		
4	SUPPORT		
5	Full-time equated unclassified positions	6.0	
6	Full-time equated classified positions	315.3	
7	Unclassified salaries--FTE positions	6.0	\$ 1,023,100
8	Asset management council		2,299,900
9	Business support services--FTEs	77.0	13,696,500
10	Commission audit--FTEs	29.3	4,976,200
11	Economic development and enhancement programs--		
12	FTEs	11.0	1,916,700
13	Finance, contracts, and support services--FTEs	198.0	30,444,900
14	Property management		8,616,000
15	Worker's compensation		1,546,300
16	GROSS APPROPRIATION	\$	64,519,600
17	Appropriated from:		
18	IDG for accounting service center user charges		4,555,300
19	Comprehensive transportation fund		1,873,600
20	Economic development fund		414,900
21	Michigan transportation fund		5,237,800
22	State aeronautics fund		750,700
23	State trunkline fund		51,687,300
24	State general fund/general purpose	\$	0
25	Sec. 105. INFORMATION TECHNOLOGY		
26	Information technology services and projects	\$	47,931,900
27	GROSS APPROPRIATION	\$	47,931,900
28	Appropriated from:		



1	Federal aid - transportation programs		536,400
2	Blue Water Bridge fund		60,300
3	Comprehensive transportation fund		245,400
4	Economic development fund		40,600
5	Michigan transportation fund		320,700
6	State aeronautics fund		191,400
7	State trunkline fund		46,537,100
8	State general fund/general purpose	\$	0
9	Sec. 106. TRANSPORTATION PLANNING		
10	Full-time equated classified positions	142.0	
11	Planning services--FTEs	142.0	\$ 45,364,700
12	Grants to regional planning councils		488,800
13	GROSS APPROPRIATION	\$	45,853,500
14	Appropriated from:		
15	Federal aid - transportation programs		26,000,000
16	Comprehensive transportation fund		366,200
17	Michigan transportation fund		11,473,700
18	State aeronautics fund		31,500
19	State trunkline fund		7,982,100
20	State general fund/general purpose	\$	0
21	Sec. 107. DESIGN AND ENGINEERING SERVICES		
22	Full-time equated classified positions	1,654.3	
23	Business services--FTEs	44.8	\$ 11,386,400
24	Program development and delivery--FTEs	1,046.5	138,457,700
25	System operations management--FTEs	563.0	127,255,200
26	GROSS APPROPRIATION	\$	277,099,300
27	Appropriated from:		
28	Federal aid - transportation programs		26,001,600

1	Comprehensive transportation fund	187,100
2	Michigan transportation fund	20,238,400
3	State trunkline fund	230,672,200
4	State general fund/general purpose	\$ 0
5	Sec. 108. HIGHWAY MAINTENANCE	
6	Full-time equated classified positions	911.7
7	State trunkline operations--FTEs	911.7 \$ 530,033,300
8	GROSS APPROPRIATION	\$ 530,033,300
9	Appropriated from:	
10	State trunkline fund	530,033,300
11	State general fund/general purpose	\$ 0
12	Sec. 109. ROAD AND BRIDGE PROGRAMS	
13	Cities and villages	\$ 1,112,369,700
14	County road commissions	2,012,101,400
15	Grants to local programs	33,000,000
16	Local agency wetland mitigation bank fund	2,000,000
17	Local bridge program	126,550,900
18	Local federal aid and road and bridge	
19	construction	428,999,800
20	Movable bridge fund	6,504,600
21	Rail grade crossing	3,000,000
22	Rail grade crossing - surface improvements	3,000,000
23	State trunkline federal aid and road and bridge	
24	construction	1,988,815,500
25	Rail grade separation fund	40,000,000
26	GROSS APPROPRIATION	\$ 5,756,341,900
27	Appropriated from:	
28	Federal aid - transportation programs	1,741,778,500

1	Local funds		30,003,500
2	Private funds		10,000,000
3	Blue Water Bridge fund		29,026,400
4	Local bridge fund		26,550,900
5	Michigan transportation fund		2,408,775,700
6	State trunkline fund		607,006,900
7	Neighborhood roads fund		863,200,000
8	Local grade separation fund		40,000,000
9	State general fund/general purpose	\$	0
10	Sec. 110. BLUE WATER BRIDGE		
11	Full-time equated classified positions	47.0	
12	Blue Water Bridge operations--FTEs	47.0	\$ 8,013,800
13	GROSS APPROPRIATION	\$	8,013,800
14	Appropriated from:		
15	Blue Water Bridge fund		8,013,800
16	State general fund/general purpose	\$	0
17	Sec. 111. TRANSPORTATION ECONOMIC DEVELOPMENT		
18	Forest roads	\$	4,741,600
19	Rural county primary		10,620,800
20	Rural county urban system		2,500,000
21	Urban county congestion		10,620,800
22	GROSS APPROPRIATION	\$	28,483,200
23	Appropriated from:		
24	Economic development fund		28,483,200
25	State general fund/general purpose	\$	0
26	Sec. 112. AERONAUTICS SERVICES		
27	Full-time equated classified positions	48.0	
28	Air service program	\$	50,000

1	Aviation services--FTEs	48.0		7,953,300
2	GROSS APPROPRIATION		\$	8,003,300
3	Appropriated from:			
4	State aeronautics fund			8,003,300
5	State general fund/general purpose		\$	0
6	Sec. 113. PUBLIC TRANSPORTATION SERVICES			
7	Full-time equated classified positions	50.0		
8	Passenger transportation services--FTEs	50.0	\$	8,092,400
9	GROSS APPROPRIATION		\$	8,092,400
10	Appropriated from:			
11	Federal aid - transportation programs			2,000,000
12	Comprehensive transportation fund			6,092,400
13	State general fund/general purpose		\$	0
14	Sec. 114. LOCAL BUS TRANSIT			
15	Local bus operating		\$	315,000,000
16	Nonurban operation/capital			41,935,500
17	GROSS APPROPRIATION		\$	356,935,500
18	Appropriated from:			
19	Federal aid - transportation programs			39,935,500
20	Local funds			2,000,000
21	Comprehensive transportation fund			315,000,000
22	State general fund/general purpose		\$	0
23	Sec. 115. INTERCITY PASSENGER			
24	Full-time equated classified positions	41.0		
25	Detroit/Wayne County Port Authority		\$	600,000
26	Freight property management			1,300,000
27	Intercity services			10,865,700
28	Office of rail--FTEs	41.0		7,587,000

1	Rail operations and infrastructure	219,388,500
2	GROSS APPROPRIATION	\$ 239,741,200
3	Appropriated from:	
4	Federal aid - transportation programs	106,429,700
5	Local funds	260,000
6	Private funds	4,500,000
7	Comprehensive transportation fund	119,426,200
8	Intercity bus equipment fund	45,400
9	Michigan transportation fund	2,238,700
10	Rail freight fund	6,000,000
11	State trunkline fund	841,200
12	State general fund/general purpose	\$ 0
13	Sec. 116. PUBLIC TRANSPORTATION DEVELOPMENT	
14	Full-time equated classified positions	4.0
15	Municipal credit program	\$ 2,000,000
16	Service initiatives	6,300,000
17	Specialized services	30,615,900
18	Van pooling	300,000
19	Intermodal capital	298,832,200
20	Infrastructure projects authority program	65,000,000
21	Maritime and ports facility assistance program	5,294,700
22	GROSS APPROPRIATION	\$ 408,342,800
23	Appropriated from:	
24	Federal aid - transportation programs	161,672,500
25	Local funds	37,185,000
26	Private funds	4,000,000
27	Comprehensive transportation fund	135,190,600
28	Infrastructure projects authority fund	65,000,000



1	Maritime and ports facility assistance fund	5,294,700
2	State general fund/general purpose	\$ 0
3	Sec. 117. CAPITAL OUTLAY	
4	(1) BUILDINGS AND FACILITIES	
5	Salt storage buildings and containment control	\$ 3,300,000
6	Special maintenance, remodeling, and additions	5,350,500
7	GROSS APPROPRIATION	\$ 8,650,500
8	Appropriated from:	
9	State trunkline fund	8,650,500
10	State general fund/general purpose	\$ 0
11	(2) AIRPORT IMPROVEMENT PROGRAMS	
12	Airport safety, protection and improvement	
13	program	\$ 181,309,800
14	Detroit Metropolitan Wayne County Airport	6,435,000
15	IIJA airport infrastructure grants	115,000,000
16	GROSS APPROPRIATION	\$ 302,744,800
17	Appropriated from:	
18	Federal aid - transportation programs	270,000,000
19	Local funds	17,500,000
20	Private funds	2,000,000
21	Qualified airport fund	6,435,000
22	State aeronautics fund	6,809,800
23	State general fund/general purpose	\$ 0
24	Sec. 118. ONE-TIME APPROPRIATIONS	
25	Coloma salt storage building	\$ 5,168,100
26	Facilities capital outlay	5,600,000
27	Great Lakes Tunnel project - phase II oversight	4,100,000
28	GROSS APPROPRIATION	\$ 14,868,100

1	Appropriated from:	
2	State trunkline fund	10,768,100
3	Michigan infrastructure fund	4,100,000
4	State general fund/general purpose	\$ 0

PART 2

PROVISIONS CONCERNING APPROPRIATIONS
FOR FISCAL YEAR 2026-2027

GENERAL SECTIONS

Sec. 201. Pursuant to section 30 of article IX of the state constitution of 1963, total state spending from state sources under part 1 for the fiscal year ending September 30, 2027 is \$6,013,263,400.00 and state spending from state sources to be paid to local units of government for fiscal year 2027 is \$3,887,048,500.00. The itemized statement below identifies appropriations from which spending to local units of government will occur:

STATE TRANSPORTATION DEPARTMENT

19	Grants to regional planning councils	\$ 488,800
20	Cities and villages	1,112,369,700
21	County road commissions	2,012,101,400
22	Grants to local programs	33,000,000
23	Local agency wetland mitigation bank fund	2,000,000
24	Local bridge program	126,550,900
25	Local grade separation program	40,000,000
26	Movable bridge fund	3,252,300
27	Rail grade crossing	1,500,000
28	Rail grade crossing - surface improvements	3,000,000



1	Forest roads	4,741,600
2	Rural county primary	10,620,800
3	Rural county urban system	2,500,000
4	Urban county congestion	10,620,800
5	Air service program	50,000
6	Local bus operating	315,000,000
7	Detroit/Wayne County Port Authority	600,000
8	Infrastructure projects authority program	65,000,000
9	Intermodal capital	118,890,600
10	Municipal credit program	2,000,000
11	Service initiatives	1,000,000
12	Specialized services	13,000,000
13	Airport safety, protection, and improvement	
14	program	6,809,800
15	Detroit Metropolitan Wayne County Airport	6,435,000
16	Total payments to local units of government	\$ 3,887,048,500

17 Sec. 202. The appropriations under this part and part 1 are
18 subject to the management and budget act, 1984 PA 431, MCL 18.1101
19 to 18.1594.

20 Sec. 203. As used in this part and part 1:
21 (a) "CTF" means comprehensive transportation fund.
22 (b) "Department" means the state transportation department.
23 (c) "FTE" means full-time equated.
24 (d) "IDG" means interdepartmental grant.
25 (e) "IIJA" means the infrastructure investment and jobs act,
26 2021, Public Law 117-58.
27 (f) "MTF" means Michigan transportation fund.
28 (g) "SAF" means state aeronautics fund.
29 (h) "Standard report recipients" means the senate and house



1 appropriations subcommittees on transportation, the senate and
2 house fiscal agencies, the senate and house policy offices, and the
3 state budget office.

4 (i) "STF" means state trunkline fund.

5 Sec. 204. A department or agency shall use the internet to
6 fulfill the reporting requirements of this part and shall make each
7 report readily accessible to the public and conspicuously post each
8 required report in a single archivable location on the department's
9 or agency's Michigan.gov website not later than the due date
10 required for each report. In addition to placing all reports
11 required in the current fiscal year on the department's or agency's
12 website, the department or agency shall maintain on its website all
13 reports placed on the website from previous fiscal years posted by
14 fiscal year in the same archivable location. The department or
15 agency shall also transmit all required reports for the current
16 fiscal year to the standard recipients and any other required
17 recipients by email.

18 Sec. 205. To the extent permissible under section 261 of the
19 management and budget act, 1984 PA 431, MCL 18.1261, all of the
20 following apply to the expenditure of funds appropriated in part 1:

21 (a) The funds must not be used for the purchase of foreign
22 goods or services, or both, if competitively priced and of
23 comparable quality American goods or services, or both, are
24 available.

25 (b) Preference must be given to goods or services, or both,
26 manufactured or provided by Michigan businesses, if they are
27 competitively priced and of comparable quality.

28 (c) Preference must be given to goods or services, or both,
29 that are manufactured or provided by Michigan businesses owned and



1 operated by veterans, if they are competitively priced and of
2 comparable quality.

3 Sec. 206. The department shall not take disciplinary action
4 against an employee of the department for communicating with a
5 member of the legislature or legislative staff, unless the
6 communication is prohibited by law and the department is exercising
7 its authority as provided by law.

8 Sec. 207. Consistent with section 217 of the management and
9 budget act, 1984 PA 431, MCL 18.1217, each department and agency
10 receiving appropriations in part 1 shall prepare a report on out-
11 of-state travel expenses not later than January 1. The report must
12 list all travel by classified and unclassified employees outside
13 this state in the previous fiscal year that was funded in whole or
14 in part with funds appropriated in the department's or agency's
15 budget. The department shall submit the report to the standard
16 recipients and to the house and senate appropriations committees.
17 The report must include all of the following information:

18 (a) The dates of each travel occurrence.

19 (b) The total transportation and related expenses of each
20 travel occurrence and the proportions funded with state general
21 fund/general purpose revenues, state restricted revenues, federal
22 revenues, and other revenues.

23 Sec. 208. If the state administrative board, acting under
24 section 3 of 1921 PA 2, MCL 17.3, transfers funds from an amount
25 appropriated under part 1, the legislature may, by a concurrent
26 resolution adopted by a majority of the members elected to and
27 serving in each house, intertransfer funds within part 1 for the
28 particular department, board, commission, officer, or institution.

29 Sec. 209. Not later than December 15, the state budget office



1 shall prepare and submit a report that provides estimates of the
2 total general fund/general purpose appropriation lapses at the
3 close of the previous fiscal year. The report must summarize the
4 projected year-end general fund/general purpose appropriation
5 lapses by major departmental programs or program areas. The state
6 budget office shall submit the report to the standard report
7 recipients and to the chairpersons of the senate and house
8 appropriations committees.

9 Sec. 210. (1) In addition to the funds appropriated in part 1,
10 there is appropriated an amount not to exceed \$500,000,000.00 for
11 federal contingency authorization. Amounts appropriated under this
12 subsection are not available for expenditure until they have been
13 transferred to another line item in part 1 under section 393(2) of
14 the management and budget act, 1984 PA 431, MCL 18.1393.

15 (2) In addition to the funds appropriated in part 1, there is
16 appropriated an amount not to exceed \$40,000,000.00 for state
17 restricted contingency authorization. Amounts appropriated under
18 this subsection are not available for expenditure until they have
19 been transferred to another line item in part 1 under section
20 393(2) of the management and budget act, 1984 PA 431, MCL 18.1393.

21 (3) In addition to the funds appropriated in part 1, there is
22 appropriated an amount not to exceed \$1,000,000.00 for local
23 contingency authorization. Amounts appropriated under this
24 subsection are not available for expenditure until they have been
25 transferred to another line item in part 1 under section 393(2) of
26 the management and budget act, 1984 PA 431, MCL 18.1393.

27 (4) In addition to the funds appropriated in part 1, there is
28 appropriated an amount not to exceed \$11,000,000.00 for private
29 contingency authorization. Amounts appropriated under this



1 subsection are not available for expenditure until they have been
2 transferred to another line item in part 1 under section 393(2) of
3 the management and budget act, 1984 PA 431, MCL 18.1393.

4 Sec. 211. A department or agency shall cooperate with the
5 department of technology, management, and budget to maintain a
6 searchable website accessible by the public at no cost that
7 includes, but is not limited to, all of the following for each
8 department or agency:

9 (a) Fiscal year-to-date expenditures by category.

10 (b) Fiscal year-to-date expenditures by appropriation unit.

11 (c) Fiscal year-to-date payments to a selected vendor,
12 including the vendor name, payment date, payment amount, and
13 payment description.

14 Sec. 212. Not later than 14 days after the release of the
15 executive budget recommendation, the department shall cooperate
16 with the state budget office to provide an annual report on
17 estimated state restricted fund balances, state restricted fund
18 projected revenues, and state restricted fund expenditures for the
19 previous 2 fiscal years. The report must be submitted to the
20 standard report recipients and to the chairpersons of the senate
21 and house appropriations committees.

22 Sec. 214. To the extent permissible under the management and
23 budget act, 1984 PA 431, MCL 18.1101 to 18.1594, the director of
24 each department or agency receiving appropriations in part 1 shall
25 take all reasonable steps to ensure geographically disadvantaged
26 business enterprises compete for and perform contracts to provide
27 services or supplies, or both. The director shall strongly
28 encourage firms with which the department contracts to subcontract
29 with certified geographically disadvantaged business enterprises



1 for services or supplies, or both. As used in this section,
2 "geographically disadvantaged business enterprises" means that term
3 as defined in Executive Directive No. 2023-1.

4 Sec. 215. On a quarterly basis, the department or agency
5 receiving appropriations in part 1 shall report on the number of
6 FTE positions in pay status by civil service classification,
7 including a comparison by line item of the number of FTE positions
8 authorized from funds appropriated in part 1 to the actual number
9 of FTE positions employed by the department at the end of the
10 reporting period. The report must be submitted to the senate and
11 house appropriations committees and to the standard report
12 recipients.

13 Sec. 216. (1) A department or agency shall maximize
14 utilization of its in-person state workforce. A department or
15 agency shall prioritize occupancy utilization of office space for
16 each division within the department or agency. Employees with job
17 responsibilities that require the employees to serve in their
18 capacities outside of an office shall be monitored each pay period
19 to ensure all work hours reported on the timesheet were actually
20 worked.

21 (2) A department or agency shall comply with requirements set
22 forth by the office of the state employer on in-person work and
23 utilization and occupancy rates of state buildings to ensure in-
24 person work is optimized and occupancy rates are 80% or higher,
25 subject to market conditions.

26 (3) A department or agency shall adhere to civil service rules
27 and regulations that state the standard biweekly work period for a
28 full-time employee in the classified service of this state is the
29 equivalent of 80 hours of work. A department or agency shall



1 establish policies and processes to ensure all employees are
2 working their jobs during agreed-upon business hours.

3 Sec. 218. A department or agency receiving appropriations in
4 part 1 shall receive and retain copies of all reports funded from
5 appropriations in part 1. A department or agency shall follow
6 federal and state law and guidelines for short-term and long-term
7 retention of records. A department or agency may electronically
8 retain copies of reports unless otherwise required by federal and
9 state guidelines.

10 Sec. 219. Not later than April 1, the department shall report
11 on each specific policy change made to implement a public act
12 affecting the department that took effect during the previous
13 calendar year. The report must include a reference to the public
14 act that necessitates the policy change. The department shall
15 submit the report to the standard report recipients, the senate and
16 house appropriations committees, and the joint committee on
17 administrative rules.

18 Sec. 221. (1) Funds appropriated in part 1 must not be used to
19 restrict or impede a marginalized community's access to government
20 resources, programs, or facilities.

21 (2) From the funds appropriated in part 1, local governments
22 shall report any action or policy that attempts to restrict or
23 interfere with the duties of a local health officer.

24 Sec. 222. Not later than 6 months after the state budget
25 office issues work project letters, the department shall submit an
26 annual report that summarizes all work project accounts. The report
27 must include all of the following:

28 (a) A list of all work project accounts.

29 (b) The status of all work project accounts, including amounts



1 expended, amounts encumbered, and available balances for each
2 account.

3 (c) The amount of funds that lapsed from any previously
4 designated work project accounts, the name and description of the
5 work project account, and the funds that received the lapsed
6 amounts.

7 Sec. 232. The department must provide an annual report to the
8 standard report recipients detailing significant federal policy
9 changes that do, or are expected to, significantly impact the
10 operations of the department, including reductions in federal
11 revenue and changes that are likely to lead to a reduction in the
12 department's ability to safeguard the health or welfare of the
13 public.

14 Sec. 234. Total authorized appropriations from all sources
15 under part 1 for legacy costs for the fiscal year ending September
16 30, 2026 are estimated at \$34,726,300.00. From this amount, total
17 department appropriations for pension-related legacy costs are
18 estimated at \$34,726,300.00. Total department appropriations for
19 retiree health care legacy costs are estimated at \$0.00.

20 Sec. 235. Not later than April 1, the department shall provide
21 to the standard report recipients a copy of its annual strategic
22 plan prepared in compliance with section 363 of the management and
23 budget act, 1984 PA 431, MCL 18.1363. The plan must include the
24 mission, vision, goals, strategies, and performance measures of the
25 department.

26 Sec. 236. The department shall report on any court settlement
27 that may require further legislative review of state statutory
28 programs or regulations.

29 Sec. 237. Not later than November 15, the department must



1 disclose on a publicly accessible website private and other third-
2 party funds received by the department in the previous fiscal year.
3 The report must include the amount of funding received, the
4 specific source of funding received, the purpose for which funding
5 was expended, and the amount of any remaining funds. The report
6 must be submitted to the standard report recipients and to the
7 chairpersons of the senate and house appropriations committees.

8 Sec. 239. (1) Not later than 30 days after the enactment of
9 this act, the house of representatives and senate shall provide to
10 the state budget office a jointly agreed-upon list of legislatively
11 directed spending items funded in part 1 as defined in 2025 PA 32
12 and 2025 PA 33. The list must include all information and documents
13 pertaining to the funded items as publicly disclosed in accordance
14 with 2025 PA 32 and 2025 PA 33.

15 (2) In accordance with section 364(4) of the management and
16 budget act, 1984 PA 431, MCL 18.1364, the department or agency
17 administering the grant shall post a report in a publicly
18 accessible location on its website beginning March 15 of the
19 current fiscal year. The department or agency shall update the
20 report and shall post an updated report not later than June 15 of
21 the current fiscal year and again not later than September 15 of
22 the current fiscal year. The department shall include in the report
23 the most comprehensive information the department has available at
24 the time of posting for grants awarded.

25 Sec. 240. The state budget director shall take steps to ensure
26 that all state fiscal recovery funds allocated to this state under
27 the American rescue plan act of 2021, Public Law 117-2, are
28 expended by December 31, 2026, as required by law. Any state fiscal
29 recovery funds that would otherwise lapse after September 30, 2026,



1 are automatically reappropriated for the same purpose as originally
2 authorized and available for expenditure through December 31, 2026,
3 and any subsequent financial closeout period.

4 Sec. 241. (1) The state budget director shall take steps to
5 ensure that all state fiscal recovery funds allocated to this state
6 under the American rescue plan act of 2021, Public Law 117-2, are
7 expended by December 31, 2026, as required by law. The state budget
8 director may reallocate appropriated funds for the purpose of fully
9 utilizing state fiscal recovery funds that are in jeopardy of not
10 meeting the expenditure deadline for reasons that may include, but
11 are not limited to, completed projects coming in under budget or
12 funds unable to be fully used by subrecipients. The state budget
13 director shall reallocate any of the funds reallocated under this
14 subsection to the programs or purposes specified in this section.
15 Any funds reallocated are unappropriated and immediately
16 reappropriated for the following purposes:

17 (a) To reclassify general fund/general purpose appropriations
18 for payroll and covered benefits for eligible public health and
19 safety employees at the department of corrections.

20 (b) To reclassify general fund/general purpose appropriations
21 for payroll and covered benefits for eligible public health and
22 safety employees at the department of state police.

23 (2) All applicable guidance, implementation, and reporting
24 provisions of the American rescue plan act of 2021, Public Law 117-
25 2, must be followed for state fiscal recovery funds reallocated and
26 reappropriated under subsection (1).

27 (3) The state budget director shall notify the senate and the
28 house appropriations committees not later than 1 business day after
29 making any reallocations under subsection (1). The notification



1 must include the authorized program under which funds were
2 originally appropriated, the amount of the reallocation, the
3 program, or programs, or purpose, and the department to which the
4 funds are being reallocated under subsection (1), and the amount
5 reallocated to each program or purpose.

6 Sec. 242. (1) In addition to any other requirements under this
7 part, if the department is authorized under this part to expend
8 funds in addition to those appropriated in part 1, the department
9 must do all of the following:

10 (a) Not later than November 1, provide a report to the
11 chairpersons of the house and senate appropriations committees, the
12 house and senate fiscal agencies, and the state budget office that
13 details all of the following:

14 (i) The type of funding received during the previous fiscal
15 year that was authorized in part 2 of the article that made
16 appropriations for the department in the previous fiscal year.

17 (ii) When the funding was received.

18 (iii) The amount of funding received.

19 (iv) How much of the funding was spent and for what purpose.

20 (b) Not later than 60 days after receipt of funds authorized
21 under this part, provide a report to the chairpersons of the house
22 and senate appropriations committees, the house and senate fiscal
23 agencies, and the state budget office that details all of the
24 following:

25 (i) The type of funding received.

26 (ii) When the funding was received.

27 (iii) The amount of funding received.

28 (iv) The anticipated or actual amount to be spent and the
29 specified purpose.



(c) Not later than February 15, provide a report to the chairpersons of the house and senate appropriations committees, the house and senate fiscal agencies, and the state budget office with an estimate of funding authorized by this part that the department anticipates it will receive in the subsequent fiscal year, identifying all of the following:

- (i) The type of funding anticipated.
- (ii) The amount of funding anticipated.
- (iii) The purpose of the funding.

(2) If another reporting requirement under this part would provide substantially similar information on a substantially similar time frame as would be reported under subsection (1), subsection (1) does not apply.

DEPARTMENTAL ADMINISTRATION AND SUPPORT

Sec. 301. The department may establish a fee schedule and collect fees sufficient to cover the costs to issue the permits that the department is authorized by law to issue on request, unless otherwise stipulated by law. All permit fees are nonrefundable application fees and must be credited to the appropriate fund to recover the direct and indirect costs of receiving, reviewing, and processing the requests.

Sec. 302. Not later than December 31, the department shall submit, to the standard report recipients and to the chairpersons of the senate and house of representatives appropriations committees, a report that includes the estimated available fund balances for all of the following:

- (a) The transportation economic development fund.
- (b) The local grade separation fund.



- (c) The infrastructure projects authority fund.
- (d) The comprehensive transportation fund.
- (e) The Michigan transportation fund.
- (f) The state aeronautics fund.
- (g) The contracting opportunity loan fund.
- (h) The local bridge fund.
- (i) The movable bridge fund.
- (j) The intercity bus equipment and facility fund.
- (k) The rail freight fund.
- (l) The recreation improvement fund.
- (m) The neighborhood roads fund.
- (n) The maritime and port fund.
- (o) The Blue Water Bridge fund.
- (p) The local agency wetland mitigation bank fund.

Sec. 303. (1) The department shall not utilize bridge bundling contracting methods for projects involving the construction, rehabilitation, or replacement of bridges delivered through the local agency program unless all of the following conditions apply:

(a) A local agency program bridge bundling project package is limited to a maximum of 5 bridges.

(b) A local agency program bridge bundling project package must be confined to a single department region or limited to contiguous counties.

(c) The department shall not impose any bidder qualification requirements beyond standard prequalification. The department shall not use requests for qualifications, statements of qualifications, shortlisting, or other additional prerequisites for bidders.

(2) Bridge bundling for state trunkline or freeway projects may be utilized where multiple structures are contiguous or nearly



1 contiguous, or if bundling is required for traffic control, cost
2 efficiency, or federal funding participation.

3 Sec. 304. If, as a requirement of bidding on a highway
4 project, the department requires a contractor to submit financial
5 or proprietary documentation as to how the bid was calculated, the
6 department shall keep that bid documentation confidential and shall
7 not disclose that bid documentation other than to a department
8 representative without the contractor's written consent. The
9 department may disclose the bid documentation if necessary to
10 address or defend a claim by a contractor.

11 Sec. 306. (1) The amounts appropriated in part 1 to support
12 tax and fee collection, law enforcement, and other program services
13 provided to the department and to transportation funds by other
14 state departments must be expended from transportation funds
15 pursuant to annual contracts between the department and those other
16 state departments. The contracts must be executed before the
17 expenditure or obligation of those funds. The contracts must
18 provide, but are not limited to, the following data applicable to
19 each state department:

20 (a) Estimated costs to be recovered from transportation funds.

21 (b) Description of services provided to the department and/or
22 transportation funds and financed with transportation funds.

23 (c) Detailed cost allocation methods appropriate to the type
24 of services being provided and the activities financed with
25 transportation funds.

26 (2) Not later than 2 months after publication of the state of
27 Michigan annual comprehensive financial report, each state
28 department receiving funding pursuant to an interdepartment
29 contract with the department shall submit a written report to the



1 department, the state budget director, the senate and house fiscal
2 agencies, and the auditor general stating by spending authorization
3 account the amount of estimated funds contracted with the
4 department, the amount of funds expended, the amount of funds
5 returned to the transportation funds, and any unreimbursed
6 transportation-related costs incurred but not billed to
7 transportation funds.

8 Sec. 307. Before March 1, the department shall provide to the
9 legislature, the state budget director, and the senate and house
10 fiscal agencies its rolling 5-year plan listing by county or by
11 county road commission all highway construction projects for the
12 fiscal year and all expected projects for the ensuing fiscal years.

13 Sec. 309. (1) Notwithstanding any other law, a state contract
14 for a pavement marking project or for the purchase of materials for
15 a pavement marking project must include in the contract a
16 requirement that, in any yellow water-based paint product procured,
17 all yellow pigments permanently incorporated in the material must
18 be manufactured in the United States according to the rules of
19 origin under the United States-Mexico-Canada agreement, Public Law
20 116-113.

21 (2) It is the intent of the legislature to use cement
22 manufactured in the United States according to the rules of origin
23 under the United States-Mexico-Canada agreement, Public Law 116-
24 113.

25 Sec. 310. The department shall post in a timely manner copies
26 of the agenda, approved minutes, and audio recording of state
27 transportation commission meetings.

28 Sec. 313. (1) From funds appropriated in part 1, the
29 department may increase a state infrastructure bank program and



1 grant or loan funds in accordance with regulations of the state
2 infrastructure bank program of the United States Department of
3 Transportation. The department shall administer the state
4 infrastructure bank for the purpose of providing a revolving, self-
5 sustaining resource for financing transportation infrastructure
6 projects.

7 (2) In addition to funds provided in subsection (1), money
8 received by this state as federal grants, repayment of state
9 infrastructure bank loans, or other reimbursement or revenue
10 received by this state as a result of projects funded by the
11 program and interest earned on that money must be deposited in the
12 revolving state infrastructure bank fund and must be available for
13 transportation infrastructure projects. At the close of the fiscal
14 year, any unencumbered funds remaining in the state infrastructure
15 bank fund remain in the fund and carry forward into the succeeding
16 fiscal year.

17 (3) The department shall prepare a report on the status of the
18 state infrastructure bank and submit the report to the standard
19 report recipients on or before December 31, 2026. The report must
20 include all of the following:

21 (a) The balance in the state infrastructure bank on September
22 30, 2026, including a breakdown of the balance by cash and cash
23 equivalents, outstanding loans, and balance available for loan to
24 local agencies.

25 (b) A breakdown of the state infrastructure loan balance by
26 amounts originating from federal sources and the amounts
27 originating from nonfederal sources.

28 (c) A list of outstanding loans by agency, original loan
29 amount, project description, loan term, and amount outstanding.



1 Sec. 314. (1) The MI contracting opportunity loan fund is
2 created within the state treasury.

3 (2) Funds deposited into the MI contracting opportunity loan
4 fund originally created in section 1003 of article 15 of 2024 PA
5 121 or money received by the state as repayment of loans or
6 interest earned on loan funds is appropriated and shall be
7 available for future loans.

8 (3) At the close of the fiscal year, any unencumbered funds
9 remaining in the fund shall be carried forward into the succeeding
10 fiscal year.

11 Sec. 315. The department shall use any additional funds in the
12 moveable bridge fund to cover other costs for any required local
13 federal bridge load analysis, inspection, or other local federal
14 mandate.

15 Sec. 383. (1) The department shall prepare a report on the use
16 of department-owned aircraft during the fiscal year ending
17 September 30, 2026. With respect to each department-owned aircraft,
18 the report must include all of the following:

19 (a) Total hours of usage.

20 (b) Description of specific flights, including dates of
21 travel, names of passengers, including state agency, university, or
22 local government affiliation, travel origin and destination, and
23 total estimated costs associated with the air travel.

24 (2) The department shall submit the report as required under
25 section 204 no later than February 1, 2027.

26 (3) The department shall maintain a system for recovering the
27 cost of operating department-owned aircraft through charges to
28 aircraft users.

29 Sec. 384. (1) Except as otherwise provided in subsection (2),



1 the department shall not obligate this state to expend any state
2 transportation revenue for construction planning or construction of
3 the Gordie Howe International Crossing or a renamed successor. In
4 addition, except as provided in subsection (2), the department
5 shall not commit this state to any new contract related to the
6 construction planning or construction of the Gordie Howe
7 International Crossing or a renamed successor that would obligate
8 this state to expend any state transportation revenue. An
9 expenditure for staff resources used in connection with project
10 activities that is subject to full and prompt reimbursement from
11 Canada is not considered an expenditure of state transportation
12 revenue.

13 (2) If the legislature enacts specific enabling legislation
14 for the construction of the Gordie Howe International Crossing or a
15 renamed successor, subsection (1) does not apply once the enabling
16 legislation goes into effect.

17 Sec. 385. (1) The department shall submit monthly reports to
18 the standard report recipients, the speaker of the house of
19 representatives, the house of representatives minority leader, the
20 senate majority leader, and the senate minority leader on all of
21 the following:

22 (a) All expenditures made by this state related to the Gordie
23 Howe Bridge.

24 (b) All reimbursements made by Canada under section 384(1) of
25 this part to this state for expenditures for staff resources used
26 in connection with project activities.

27 (c) All eminent domain and condemnation powers used, the
28 related real estate involved in any governmental taking, the price
29 paid for those properties, and the beneficiary's name or associated



1 corporation.

2 (2) The department shall submit the initial report required
3 under subsection (1) on or before December 1. The initial report
4 must cover the prior fiscal year.

5 Sec. 389. (1) Within 30 days after entering into a long-term
6 agreement with a private contractor, a public agency, or a
7 partnership between 1 or more private contractors or public
8 agencies, the department shall notify the state budget director,
9 the senate and house appropriations subcommittees on
10 transportation, and the senate and house fiscal agencies of the
11 agreement, including the subject of the agreement, the term of the
12 agreement, and financial obligations under the agreement.

13 (2) As used in this section, "long-term agreement" means an
14 agreement that obligates the department for a period of 5 years or
15 more and that actually or contingently obligates the department to
16 make payments over the contract period of \$10,000,000.00 or more.

17 Sec. 395. From the funds appropriated in part 1 for state
18 trunkline federal aid road and bridge construction, the department
19 may expend up to \$10,000,000.00 on highway maintenance activities
20 to support safety-related, high-priority, and other deferred
21 routine maintenance needs on the state trunkline network.

22 Sec. 398. The department shall continue to work to eliminate
23 fatalities and serious injuries on the state trunkline network and
24 shall maintain the Toward Zero Deaths statewide safety campaign.

25
26 **MICHIGAN TRANSPORTATION FUND**

27 Sec. 501. The money received under the motor carrier act, 1933
28 PA 254, MCL 475.1 to 479.42, and not appropriated to the department
29 of licensing and regulatory affairs or the department of state



1 police is deposited in the Michigan transportation fund.

2 Sec. 502. At the close of the fiscal year, any unencumbered
3 and unexpended balance in the movable bridge fund remains in the
4 movable bridge fund and carries forward.

5 Sec. 503. (1) At the close of the fiscal year, funds
6 appropriated in part 1 for the transportation economic development
7 program shall lapse to the transportation economic development
8 fund.

9 (2) At the close of the fiscal year, funds appropriated in
10 part 1 for the local bridge program shall carry forward.

11 (3) Interest earned in the transportation economic development
12 fund and local bridge fund shall remain in the respective funds and
13 shall be allocated to the respective programs based on actual
14 interest earned at the end of each fiscal year.

15 (4) In addition to the funds appropriated in part 1, the
16 transportation economic development fund and local bridge fund may
17 receive federal, local, or private funds or restricted source funds
18 such as interest earnings.

19 (5) None of the funds statutorily dedicated to the
20 transportation economic development fund and local bridge fund
21 shall be diverted to other projects.

22 Sec. 504. Funds from the Michigan transportation fund must be
23 distributed to the comprehensive transportation fund, the economic
24 development fund, the recreation improvement fund, and the state
25 trunkline fund, in accordance with this part and part 1 and part
26 711 of the natural resources and environmental protection act, 1994
27 PA 451, MCL 324.71101 to 324.71108, and may only be used as
28 specified in this part and part 1, 1951 PA 51, MCL 247.651 to
29 247.675, and part 711 of the natural resources and environmental



1 protection act, 1994 PA 451, MCL 324.71101 to 324.71108.

2
3 **STATE TRUNKLINE FUND**

4 Sec. 604. At the close of the fiscal year, any unencumbered
5 and unexpended balance in the state trunkline fund remains in the
6 state trunkline fund and carries forward.

7 Sec. 651. Funds from the neighborhood roads fund must be
8 distributed and are appropriated to the local grade separation
9 fund, comprehensive transportation fund, infrastructure projects
10 authority fund, and the state trunkline fund, in accordance with
11 this part and part 1 and section 13c of 1951 PA 51, MCL 247.663c.

12 Sec. 652. At the close of the fiscal year, any unencumbered
13 and unexpended balance in the neighborhood roads fund not
14 previously allocated under sections (a) through (e) of section
15 13c(5) of 1951 PA 51, 247.663c, remains in the neighborhood roads
16 fund and carries forward.

17
18 **TRANSIT AND RAIL RELATED FUNDS**

19 Sec. 701. The department shall establish an intercity bus
20 equipment and facility fund as a subsidiary fund within the
21 comprehensive transportation fund created under section 10b of 1951
22 PA 51, MCL 247.660b. Proceeds received by this state from the sale
23 of state-owned intercity bus equipment must be credited to the
24 intercity bus equipment and facility fund for the purchase and
25 repair of intercity bus equipment, as appropriated. Security
26 deposits not returned to a lessee of state-owned intercity bus
27 equipment under terms of the lease agreement must be credited to
28 the intercity bus equipment and facility fund for the repair of
29 intercity bus equipment, as appropriated. Money received by the



1 department from lease payments for state-owned intercity bus
2 equipment, and facility maintenance charges under terms of leases
3 of state-owned intercity facilities, must be credited to the
4 intercity bus equipment and facility fund for the purchase and
5 repair of intercity bus equipment or for the maintenance and
6 rehabilitation of state-owned intercity facilities, as
7 appropriated. At the close of the fiscal year, any funds remaining
8 in the intercity bus equipment and facility fund remain in the fund
9 and are carried forward into the succeeding fiscal year.

10 Sec. 702. Money that is received by this state as repayment
11 for loans made for rail or water freight capital projects, and as a
12 result of the sale of property or equipment used or projected to be
13 used for rail or water freight projects must be deposited in the
14 rail freight fund created by section 17 of the state transportation
15 preservation act of 1976, 1976 PA 295, MCL 474.67. At the close of
16 the fiscal year, any funds remaining in the rail freight fund
17 remain in the fund and are carried forward into the succeeding
18 fiscal year.

19 Sec. 704. From the funds appropriated in part 1, the
20 department shall prepare and transmit a report that provides detail
21 regarding the department's obligations for programs funded under
22 the appropriation in part 1 for rail operations and infrastructure.
23 The report shall include a breakdown of the appropriation by
24 program, year-to-date obligations under each program itemized by
25 project, and an estimate of future obligations under each program
26 itemized by project for the remainder of the fiscal year. The
27 report shall also include a listing of all active rail related
28 federal grants. The initial report shall be submitted to the
29 standard report recipients on or before March 1. The department



1 also shall update and resubmit a final report on or before
2 September 30.

3 Sec. 707. (1) Before March 1, 2027, the department shall
4 provide to the legislature, the state budget office, and the senate
5 and house fiscal agencies its rail strategic plan. The strategic
6 plan must include, but is not limited to, a rolling 5-year rail
7 plan and a summary of the department's obligations for programs
8 funded under the appropriation in part 1 for rail operations and
9 infrastructure.

10 (2) The rolling 5-year rail plan must include, but is not
11 limited to, all of the following:

12 (a) A listing by county of all rail infrastructure projects on
13 rail lines within this state utilizing state funds, and the
14 estimated cost of each project.

15 (b) The actual or projected state expenditures for operation
16 of passenger rail service.

17 (c) The actual or projected state expenditures for maintenance
18 of passenger service rail lines.

19 (3) The period of the rolling 5-year rail plan must include
20 the fiscal year ending September 30, 2026 and the immediately
21 following 4 fiscal years.

22 (4) The summary of the department's obligations for programs
23 funded under the appropriation in part 1 for rail operations and
24 infrastructure must include a breakdown of the appropriation by
25 program, year-to-year obligations under each program itemized by
26 project, and an estimate of future obligations under each program
27 itemized by project for the remainder of the fiscal year.

28 (5) From the funds appropriated in part 1 for rail operation
29 and infrastructure, not less than \$20,000,000.00 must be allocated



1 for the support of rail-related economic development projects and
2 rail freight system preservation projects.

3 Sec. 735. For the fiscal year ending September 30, 2027, the
4 appropriation to a street railway pursuant to section 10e(22) of
5 1951 PA 51, MCL 247.660e, is \$0.00.

6
7 **AERONAUTICS FUND**

8 Sec. 801. Except as otherwise provided in section 903 of this
9 part for capital outlay, at the close of the fiscal year, any
10 unobligated and unexpended balance in the state aeronautics fund
11 created in the aeronautics code of the state of Michigan, 1945 PA
12 327, MCL 259.1 to 259.208, lapses to the state aeronautics fund and
13 may be appropriated by the legislature in the immediately
14 succeeding fiscal year.

15
16 **CAPITAL OUTLAY**

17 Sec. 901. (1) From federal-state-local project appropriations
18 contained in part 1 for the purpose of assisting political entities
19 and subdivisions of this state in the construction and improvement
20 of publicly used airports and landing fields within this state, the
21 state transportation department may permit the award of contracts
22 on behalf of units of local government for the authorized locations
23 not to exceed the indicated amounts, of which the state allocated
24 portion must not exceed the amount appropriated in part 1.

25 (2) Political entities and subdivisions shall provide not less
26 than 5% of the cost of any project under this section, unless a
27 total nonfederal share less than 10% is otherwise specified in
28 federal law. State money must not be allocated until local money is
29 allocated. State money for any 1 project must not exceed 1/3 of the



1 total appropriation in part 1 from state funds for airport
2 improvement programs.

3 (3) The Michigan aeronautics commission may take those steps
4 necessary to match federal money available for airport construction
5 and improvement within this state and to meet the matching
6 requirements of the federal government. Whether acting alone or
7 jointly with another political subdivision or public agency or with
8 this state, a political subdivision or public agency of this state
9 shall not submit to any agency of the federal government a project
10 application for airport planning or development unless it is
11 authorized in this part and part 1 and the project application is
12 approved by the governing body of each political subdivision or
13 public agency making the application and by the Michigan
14 aeronautics commission.

15 Sec. 903. The appropriations in part 1 for capital outlay are
16 carried forward at the end of the fiscal year consistent with the
17 provisions of section 248 of the management and budget act, 1984 PA
18 431, MCL 18.1248.

19
20 **ONE-TIME APPROPRIATIONS**

21 Sec. 1001. The unexpended funds appropriated in part 1 for
22 Great Lakes Tunnel project - phase II oversight are designated as a
23 work project appropriation, and any unencumbered or unallotted
24 funds shall not lapse at the end of the fiscal year and shall be
25 available for expenditures for projects under this section until
26 the projects have been completed. The following is in compliance
27 with section 451a of the management and budget act, 1984 PA 431,
28 MCL 18.1451a:

29 (a) The purpose of the work project is to support planning,



1 construction oversight, and administration of the Great Lakes
2 Tunnel project by the Mackinac Straits corridor authority, in
3 accordance with section 14d of 1952 PA 214, MCL 254.324d.

4 (b) The work project will be accomplished by utilizing state
5 employees or contracts with service providers, or both.

6 (c) The total estimated cost of the project is \$4,100,000.00.

7 (d) The tentative completion date is September 30, 2031.